

1978.

Thousands of people had to be familiar with this company if for no other reason than they'd been to a funeral, and the fundamentals were good all along. It turns out that the Wall Street oxymorons overlooked SCI because funeral services didn't fall into any of the standard industry classifications. It wasn't exactly a leisure business and it wasn't a consumer durable, either.

Throughout the decade of the 1970s, when Subaru was making its biggest moves, only three or four major analysts kept tabs on it. Dunkin' Donuts was a 25-bagger between 1977 and 1986, yet only two major firms follow it even today. Neither was interested five years ago. Only a few regional brokerages, such as Adams, Harkness, and Hill in Boston, got on to this profitable story, but you could have initiated coverage on your own, after you'd eaten the donuts.

Pep Boys, a stock I'll be mentioning again, sold for less than \$1 a share in 1981 and hit \$9½ in 1985 before it caught the attention of three analysts. Stop & Shop soared from \$5 to \$50 as the ranks of its analysts swelled from one to four.

I could go on, but I think we both get the point. Contrast the above with the fifty-six brokerage analysts who normally cover IBM or the forty-four who cover Exxon.

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Whoever imagines that the average Wall Street professional is looking for reasons to buy exciting stocks hasn't spent much time on Wall Street. The fund manager most likely is looking for reasons *not* to buy exciting stocks, so that he can offer the proper excuses if those exciting stocks happen to go up. "It was too small for me to buy" heads a long list, followed by "there was no track record," "it was in a nongrowth industry," "unproven management," "the employees belong to a union," and "the competition will kill them," as in "Stop & Shop will never work, the 7-Elevens will kill them," or "Pic 'N' Save will never work, Sears will kill them," or "Agency Rent-A-Car hasn't got a chance against Hertz and Avis." These may be reasonable concerns that merit investigation, but often they're used to fortify snap judgments and wholesale taboos.

With survival at stake, it's the rare professional who has the guts to traffic in an unknown La Quinta. In fact, between the chance of making an unusually large profit on an unknown company and the assurance of losing only a small amount on an established company, the normal mutual-fund manager, pension-fund manager, or corporate-portfolio manager would jump at the latter. Success is one thing, but it's more important not to look bad if you fail. There's an unwritten rule on Wall Street: "You'll never lose your job losing your client's